GST & VAT Revenue Apr to July

S.No.	Month	GST Net Revenue		
		FY 2025-26	FY 2026-27	Growth %
1	April	(4646) 3,662	4,749	(2.20%) 29.69%
2	May	3,491	(3819) 3,280	(9.39%) -6.04%*
3	June	3,453	3,615	4.68%
4	July	3,810	4,120	8.14%
Up to July		14,416	15,764	9.35%

S.No.	Month	VAT Net Revenue		
		FY 2025-26	FY 2026-27	Growth %
1	April	1,795	2,008	11.85%
2	May	2,227	2,465	10.70%
3	June	2,215	2,487	12.30%
4	July	1,935	2,278	17.73%
Up to July		8,172	9,238	13.04%

*538 Cr was deducted in the May'26, due to which growth has dropped to -6.04%, whereas it is actually 9.38%.
Reasons being ascertained by TRU.

Revenue & Turnover Analysis Apr to July (2025 vs 2026)

Sector	Turnover (Apr-July'25)	Turnover (Apr-July'26)	Buoyancy %	Total Liability (I+C+S)'25	Total Liability (I+C+S)'26	Change %	Net Revenue to State'25	Net Revenue to State'26	Change %
All Sectors	**6,74,833.62**	**8,08,749.38**	**20%**	**72,784.54**	**72,414.79**	**-1%**	**14,416**	**15,764**	**+9.35%**
Rate reduced after GST2.0									
Vehicle/Automobile & Spare Parts	31,834.99	37,641.53	**18%**	7,830.42	6,431.08	**-18%**	1,994.50	1,966.20	**-1%**
Electrical machinery and equipment	45,314.41	58,666.66	**29%**	7,377.23	7,275.19	**-1%**	1,561.26	1,474.01	**-6%**
Machinery & Air Conditioning	21,609.34	25,338.81	**17%**	4,207.40	4,230.17	**1%**	860.92	832.22	**-3%**
Financial & Banking Services	45,281.19	50,431.84	**11%**	2,024.03	1,917.20	**-5%**	621.35	680.21	**9%**
Construction/Real Estate/ Cement	59,583.98	58,993.72	**-1%**	11,025.37	9,248.03	**-16%**	1,844.03	1,426.45	**-23%**
No Change in Rates									
Iron and steel	26,827.71	28,701.26	**7%**	4,683.63	5,024.54	**7%**	906.57	968.93	**7%**
Plastics and articles thereof	11,913.42	15,408.86	**29%**	2,093.29	2,552.13	**22%**	411.41	480.29	**17%**
Support services	7,207.77	7,891.62	**9%**	1091.3564	1184.60	**9%**	392.59	425.88	**8%**
Articles of iron or steel	6,145.57	8,553.79	**39%**	1068.3116	1,460.64	**37%**	281.38	364.61	**30%**
Rate Increased after 2.0									
Fuel and Energy	70,648.26	75,859.98	**7%**	1,552.62	1,701.55	**10%**	760.20	1078.48	**42%**

Key Observations – Impact of GST 2.0 on Revenue (Apr–Jul 2026)

GST 2.0 reduced the average effective tax rate from 9.15% to 8.22%,
yet Rajasthan achieved 9.35% growth in Net Revenue through strong turnover growth and improved compliance.

1 UNDERSTANDING THE IMPACT OF GST 2.0

AVERAGE EFFECTIVE TAX RATE

FY 2025–26 (Apr–Jul)	→	FY 2026–27 (Apr–Jul)
9.15%	→	**8.22%**

Reduction of ~11% in average effective tax rate

GST 2.0 resulted in a **substantial reduction** in the average effective tax rate across sectors.

Several major sectors witnessed **GST rate reduction** (28% → 18%, 12% → 5%).

Therefore, a **lower overall tax liability** was expected despite higher turnover.

Yet, Rajasthan's Net Revenue increased by

9.35%.

This clearly indicates that the increase in **economic activity** and **improved compliance** has more than compensated for the reduction in tax rates.

2 OVERALL REVENUE SUMMARY (APR–JUL)

	TURNOVER	TOTAL TAX LIABILITY	NET REVENUE TO STATE
Apr–Jul 2025	₹6.75 Lakh Cr	₹72,785 Cr	₹14,416 Cr
Apr–Jul 2026	₹8.09 Lakh Cr	₹72,415 Cr	₹15,764 Cr
Change	+20%	-1%	+9.35%

3 KEY TAKEAWAYS

Despite the significant reduction in average effective tax rate from **9.15% to 8.22%** due to GST 2.0, **strong compliance, effective tax administration and robust collections** have enabled **Rajasthan's Net Revenue** to grow by **9.35%** during Apr–Jul 2026.

Directions of HCM Review

9th July 2026

DIRECTIONS

01 **Visit & study best practices from AP & Gujarat.**

02 **Prepare an action plan for their phase-wise implementation.**

PROGRESS

- Visit to Andhra Pradesh planned for ***4th & 5th August*** 2026.
- **Learnings from Gujarat** - Detailed takeaways from the Gujarat study visit are consolidated on the following two slides

Key Takeaways for Adaptation in Rajasthan

Practices observed during the study visit — review & revision and audit planning

01 System of Review & Revision

- **Dedicated Review Branch** at head office
- **Risk-based selection & Targets**— orders dropping high-value Show Cause Notices, substantial refund orders, registration cancellations and cases of wilful misstatement or fraud
- Targets fixed for each division: **85 cases per month** and **1020 cases per year**
- **Use of AI-Models** to ascertain quality of appellate orders and assist in decision regarding further appeal

Outcome uniform, quality orders · reduced litigation · timely appeal and revision of orders affecting Govt. revenue

02 Audit Planning & Case Selection

- Centralized **audit selection committee** to finalize the annual audit plan
- **High-risk taxpayers** profiled and taken up based on multiple risk parameters
- **Sector-focused, thematic and emerging-risk** audits, with repeat audit where prior-year recovery was substantial and risk parameters persist

Outcome higher recovery per audit and better deployment of limited officer strength

Key Takeaways for Adaptation in Rajasthan

Practices observed during the study visit — registration control and risk-based identification

03 Registration Control & Bank account verification

- **PAN-based search** at the time of registration to minimize already-cancelled firms obtaining fresh registration
- Close monitoring of **every new registration** during the **first 6 months** of operation to prevent misuse of ITC
- Continuous **non-filer monitoring**, with identification of dormant and suspicious taxpayers for follow-up action

Outcome preventive control at source — bogus firms stopped before ITC leakage begins

04 Enforcement

- **Single risk profile** for each taxpayer built from returns, e-way bill movement, registration history and third-party data
- **Early-bird predictive detection** on e-way bill data — commodity wise, location wise analysis of supply and purchase (for example, consignments originating from North-Eastern States)
- **Secret contingency fund** provided every year for raid, checking and field operations, and developing own intelligence

Outcome Preventing establishment of fake firm networks and targeted enforcement actions

Enforcement

DIRECTIONS

- Take state-wide action against ITC fraud and fake networks.
- Use intelligence-based decoy operations in high-risk sectors.
- Sector-wise calendar based on festivals etc., for anti-evasion action.

Progress

Particulars	Completed FY25–26	Up to June'26	July'26	FY 26-27 Overall
No. of cases	638	221	121	312
Revenue Detected	-	**310 Cr.**	**216 Cr.**	**526 Cr.**
Voluntary Payments	**459 Cr**	**185.38 Cr**	**59.16 Cr**	**244.54 Cr**

Decoy Operations in July 2026

Parameter	Details
Sector Covered	**Coaching Institutes**
Operations Conducted	**8 decoy operations** across multiple districts of Rajasthan • Parth Career Institute, Sikar • Prayas Coaching Institute, Sikar
Modus Operandi Identified	• Suppression of taxable turnover by Non-issuance of tax invoices and Cash collections kept outside GST records • Incorrect / Excess ITC claim
Revenue Identified	**₹ 9.2 Crore**
Voluntary Tax Payment	**₹ 1.4 Crore**
Current Status	Investigations initiated and further verification in progress

Decoy Operations in July 2026

Parameter	Details
Sector Covered	Retail shops
Operations Conducted	**Baba Thakur Das & Sons (Sweets Shop)**
Modus Operandi Identified	• The case was detected by departmental officers when it was found that the dealer was making outward supplies without issuing invoices and collecting payments through UPI/QR codes linked to personal and employees' bank accounts. The search was conducted on **21 July 2026**. • **15 QR codes** were identified. Transaction details for only **2 QR codes** have been submitted by the dealer so far. • **3 firms** of the same dealer were identified, out of which **two are registered under the Composition Scheme**.
Revenue Identified	**₹ 2 Crore detected so far** (13 QR Codes more to analyzed)
Voluntary Tax Payment	-
Current Status	Investigations initiated and further verification in progress

Further plans in FY 2026-27

DECOY OPERATIONS PLANNED

MARBLE & GRANITE	AGRO PRODUCTS	RESTAURANTS & HOTELS	HOSPITALS	PHARMACIES
Tax evasion through undervaluation, cash sales & bogus transactions	Misuse of exemptions, suppression of turnover & input tax credit irregularities	Cash transactions, suppression of turnover & ITC misuse	Incorrect classification, exempt vs taxable supplies & ITC irregularities	Purchase vs sales mismatch, expired stock, ITC misuse & non-compliance

CALENDAR BASED ENFORCEMENTS

FESTIVAL / EVENT	SUGGESTED COMPLIANCE OPERATION			
Rakhi Season (Aug)	Verify gift dealers and sweet shops for unusual sales spikes	E-Way Bill monitoring for stock movement	B2C invoice & cash sales verification	
Diwali (Nov)	Focus on fireworks, electronics, jewellery, gifting items, dry fruits, decorations & temporary traders	Monitor cash-intensive businesses and stock movement	E-Way Bill verification	ITC availed vs outward supplies
Durga Puja / Navratri (Oct)	Temporary stalls, pandal contractors, event management	Decoration suppliers & food stalls	E-Way Bill & turnover verification	ITC availed vs business profile
Tourism Season (Dec – Feb)	Hotels, resorts, travel agencies, Airbnb, cab operators	Occupancy vs GST turnover analysis	Monitor online bookings & aggregator data	Transport (cab, taxi, tour operators) compliance
Wedding Season (Dec – Feb)	Banquet halls, caterers, decorators, tent houses	Photographers, jewellery & event planners	Identify under-reporting of B2C supplies	ITC utilization & cash transaction check

OBJECTIVE: Identify sector-specific tax leakages, detect seasonal under-reporting, ensure correct tax reporting and strengthen voluntary compliance through data-driven and risk-based enforcement.

Inter-Departmental Data & AI Analytics

DIRECTIONS

- Identify tax evasion using inter-departmental data sources.
- Identify tax evasion using AI & risk-based analytics.

Particulars	Status
No. of Depts from whom data is received	**5**
No. of Depts from whom data is requested	**5**
No. of use cases developed	**8**
Revenue Potential detected	**Approx. 100 Cr.**

Inter-departmental data sources

#.	Dept	Departmental Data Taken	Use Cases based on data	No. of Cases & Revenue potential	Integration Status
1	**Electricity (DISCOM)**	Electricity Consumption Data for 1 year	1. High Turnover low Consumption 2. Low Turnover High Consumption 3. Domestic Connection but High Turnover	**238 Cases**	**Complete**
2.	**IGRS**	Joint Development Agreement, Rent Agreements	1. Rent Agreement vs GST RCM Paid	**124 Cases; Potential: 18 Cr.**	**Complete**
3	**Mining**	eRwanna, Transit Pass, ERCC contracts	1. ERCC royalty discrepancy 2. Royalty paid vs RCM paid in GST	**3198 Cases; Potential: 50 Cr.**	**Data Dump Received; Use Cases Developed**
4	**RERA**	Property sold, Project detail	1. Units Sold vs GST Turnover	**271 Cases; Potential: 30 Cr.**	**Data Dump Received; Use Cases Developed**
5	**RGHS**	Payments and Invoices details for Hospitals and Pharmacies	1. Cancelled Taxpayer Invoices 2. Turnover Mismatch	**238 Cases; Potential: 30 Cr.**	**Sample Data Received; Use Cases Developed**

Example: Health Care Sector (RGHS vs GST Data Analysis)

As per the preliminary analysis of Pharmacy and Hospitals data shared by RGHS, 2 major use cases have been detected on comparing the GST Returns data with the invoice data:

1 **USE CASE 1**

Cancelled GSTIN, invoices Still Issued

GST registration cancelled, yet RGHS continued deducting TDS against the same GSTIN.

TAXPAYERS	MISMATCH
13	₹1.30 Cr

2 **USE CASE 2**

Suppression of turnover

Amount deducted by RGHS is more than the total turnover shown in GST returns.

TAXPAYERS	MISMATCH
225	₹29.14 Cr

TOTAL ACROSS ALL USE CASES 238

Total Turnover Mismatch ₹30.44 Cr

Inter-departmental data sources

#.	Dept	Integration Task	Current Status	Integration Status
1	**Transport**	Vehicle Owner Detail (Vehicle Registration Data)	API requested from MoRTH and Transport Dept..	**In Progress**
2.	**JDA**	Invoice wise detail of payment done against the contracts	Sample Data Shared by JDA, API is being developed at their end.	**In Progress**
3	**IFMS**	Invoice wise detail of payment done against the vendors	Discussion done. API is being developed at their end.	**In Progress**
4	**Railways**	Weight of Goods, Value of Goods etc.	Data feasibility study under progress.	**In Progress**
5	**UDH**	Auction processing fees, Lease of land , Sales of commercial plots , Licensing fees	Data feasibility study under progress.	**In Progress**

AI – ML & Risk Based Analytics

1 USE CASE 1

New Registration High Inter-State Sales

Newly registered taxpayers having inter-state sales and tax paid entirely using ITC

TAXPAYERS	Amount Involved
51	₹296 Cr

2 USE CASE 2

Non-Filers more than 6 months

Taxpayers who have not filed return for than 6 month, either made to file returns or suspended / cancelled if found inexistent / non-genuine.

TAXPAYERS	Cancelled / suspended
2950	436

3 USE CASE 3

Electricity Consumption Compared with GST Turnover

The electricity bill of the taxpayers were read using OCR and electricity consumption was compared with the Turnover of the Manufacturer Taxpayers

TAXPAYERS	Domestic Connection but Turnover>10 Cr
238	215

AI – ML & Risk Based Analytics

4

USE CASE 4

Taxpayers having Bank Accounts involved in Cyber Frauds

The Bank Accounts provided in the GST Registration was compared with Bank Accounts involved in Cyber Fraud

TAXPAYERS

356

Cancelled / suspended

30

5

USE CASE 5

Same Bank Account used by multiple GSTINs which was cancelled previously

Same bank account linked to multiple taxpayers. Out of these taxpayers more than 50% are cancelled.

TAXPAYERS

3474

Cancelled / suspended

159

6

USE CASE 6

Active Registration in Rajasthan but rejected in other states

Taxpayer's whose registration application was rejected / Cancelled in other states but is doing business in Rajasthan

TAXPAYERS

1607

AI – ML & Risk Based Analytics

7 **USE CASE 7**

NIL Filers for more than 12 months

Taxpayers filing Nil returns regularly which means no active business, but may be sleeping cells which may pass on fake ITC in upcoming returns

TAXPAYERS	Taxpayer suspended
1.02L	27274

8 **USE CASE 8**

GST welcome letter not delivered

Welcome Letters are sent by GSTNto all newly registered taxpayers to ensure the place of business. Returned welcome letter may lead to suspicious taxpayers

TAXPAYERS	Taxpayer suspended
20730	1267

9 **USE CASE 9**

OCR Based reading of documents

Extraction and analysis of data from GSTR-9, Profit & Loss Statements, Balance Sheets etc. using OCR and comparison with GST Database. Eg. Legal fees paid as per P&L but RCM not paid in GST

Work in Progress

Fake Firm Detection & Cleaning the Taxpayer Base

FAKE FIRM DETECTION

Particulars	FY25–26	FY26-27
Fake Firms Detected	**330+**	**63**
ITC Involved (₹ Cr)	**668.41**	**259.71**
Suspicious Firms (Repeat Offenders)	-	2675
Registration Cancelled (Improper Docs / Field Visit)	-	3752

CLEANING THE TAXPAYER BASE

Particulars	FY25–26	FY26-27
Potentially Suspicious Taxpayers from Nil Payers	-	**27274***
Returned Welcome Letters		**1267**

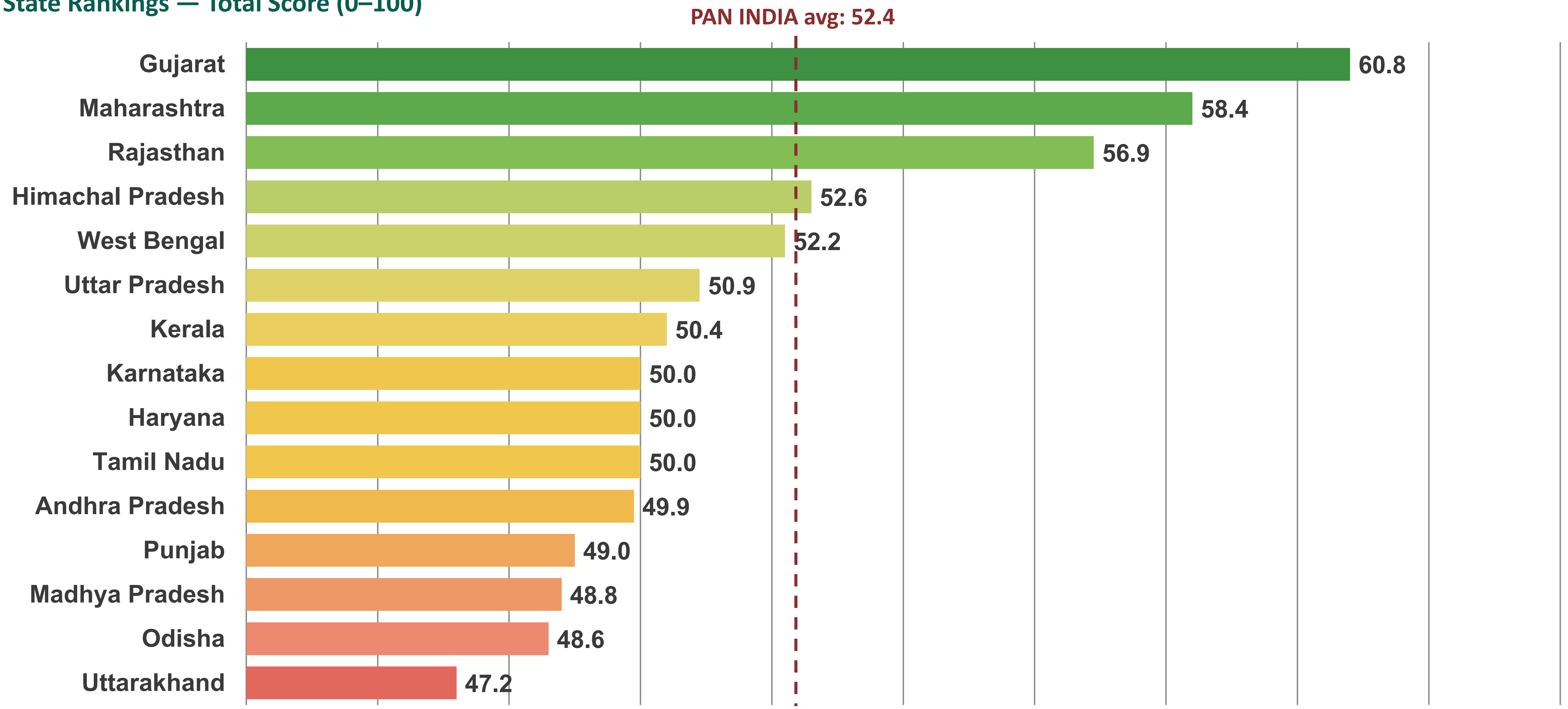
*Identified through nil-filing pattern analysis; further field verification in progress.

Tax Administration Performance Index

Source : GST Analytics and Intelligence Network portal - GSTN

Composite score across 16 GST administration parameters, by state (Published Quarterly)

State Rankings — Total Score (0–100)



Revenue Growth: Month-wise Forecasting Snapshot

FY 2026–27 (₹ in Crore)

Month	FY-26-27	Growth
Apr	4,749	2.21%
May	3,280	-6.39%
Jun	3,615	4.68%
Jul	4,120	8.15%
Aug	3,865	8.10%
Sep	3,735	8.95%
Oct	4,695	12.81%
Nov	4,395	13.04%
Dec	3,851	13.46%
Jan	4,590	14.61%
Feb	4,134	10.56%
Mar	4,985	12.12%
Total	**50,014**	**8.61%**

- *Aug 26 – Mar’ 27 figures are model-based forecasts – XGBoost, Time Series, Arima*
- *Full-year GST net revenue is projected to grow by 8.61 %, increasing from ₹46,050 Cr (FY25–26) to ₹ 50014 Cr (FY26–27).*

Meeting with Secretary Revenue, GOI

Point 1 : The note mentions that **Rajasthan's B2C ratio is approximately 7**, against a normal benchmark ratio of **4.5**. GSTN was requested for complete data and methodology. **GSTN report is as given below:**

ALL INDIA (in 1 Lakh Crore)			
FY	**B2C Supply**	**Domestic Supply**	**B2C%**
2017-2018	32.03	168.32	19.03%
2018-2019	48.64	260.85	18.65%
2019-2020	49.57	261.52	18.95%
2020-2021	46.77	261.06	17.91%
2021-2022	58.34	344.33	16.94%
2022-2023	69.44	407.16	17.06%
2023-2024	76.38	444.22	17.19%
2024-2025	82.65	495.14	16.69%
2025-2026	91.56	567.44	16.14%
Grand Total	**555.39**	**3210.03**	**17.30%**
Ratio			**5.78**

RAJASTHAN (in 1 Lakh Crore)			
FY	**B2C Supply**	**Domestic Supply**	**B2C%**
2017-2018	1.30	6.84	19.00%
2018-2019	1.96	10.53	18.59%
2019-2020	2.00	10.52	19.04%
2020-2021	1.97	10.86	18.16%
2021-2022	2.51	14.42	17.38%
2022-2023	2.94	16.84	17.49%
2023-2024	3.22	18.11	17.80%
2024-2025	3.48	19.96	17.42%
2025-2026	3.85	22.51	17.10%
Grand Total	**23.23**	**130.58**	**17.79%**
Ratio			**5.62**

Conclusion — Based on the data provided by GSTN, no significant difference is observed between Rajasthan's B2C ratio (5.62) and the all-India ratio (5.78).

Meeting with Secretary Revenue, GOI

Point 2:

An anomaly-detection technique identified approximately **5.37 lakh** taxpayers who paid lower tax compared to their respective peer band. Of these, approximately **1.22 lakh** taxpayers paid only **₹194 crore** through the cash ledger.

5.37L	1.22L	₹194 Cr
Flagged taxpayers	Low cash-ledger payers	Cash-ledger payment

CURRENT STATUS

- GSTN not able to provide any information related to the above anomaly.
- DoR has been requested for further classification and necessary details.

Other Departmental Progress: Scrutiny, Recovery & Audit

Particulars	FY25-26	FY26-27
Cases Taken Up for Scrutiny	25,225	34,401
Revenue Recovery (Overall), Cr.	129.91	150.25

Audit	FY25-26		FY26-27	
	Cases Disposed	Revenue Realised	Cases Disposed	Revenue Realised
April	54	2.76	153	5.67
May	176	6.10	244	9.03
June	179	7.44	267	7.98
July	119	5.58	145	13.81
Total	**528**	**21.87**	**809**	**36.49**

Cases selected based on high-risk parameters and large taxpayers (above ₹10 Cr).

Litigations

PERMISSION FOR PANEL LAWYERS RECEIVED FOR - NCLT

Forum — Permission Pending	Pending Cases
Supreme Court	421
Rajasthan High Court — Jodhpur (Principal Seat)	535
Rajasthan High Court — Jaipur Bench	**1,609**
RCSAT Court	19
Other State High Courts	5
Economic Offences Court	23
Tax Board & Revenue Board	330
GSTAT	182
NCLT + NCLAT + CSTAA + CESTAT + Others	74
Total	**3,195**

PERMISSION FOR PANEL LAWYERS PENDING FOR:

- Revenue Board
- GSTAT
- NCLAT
- CSTAA
- CESTAT
- Rajasthan High Court – Single Bench

1ST APPELLATE AUTHORITIES

10 Additional Commissioners handling cases with the 1st Appellate Authorities – **15359**